

Nearly half of every January intake disappears. Which of the three fixes is worth paying for?

One January, 50,000 members, four weeks of attendance. Here is what the data says, in plain terms.

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You asked me two things, and this
is the size of the hole they sit in

45%

of January members stopped coming

22,560

people, out of 50,000

1. Which reward should we pay for?

Rewarding group classes, or a punch card for three visits
a week. There is money for one of them.

2. Is our price pushing people out?

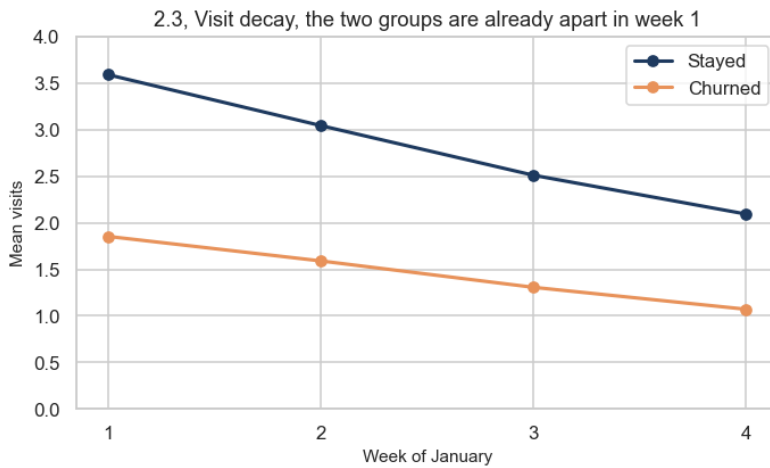
People on higher monthly fees do leave more often. The
question is whether changing the price would help.

Every idea got the same three questions

- 1 Is the pattern actually there? Compare the people who stayed with the people who left, on classes, visits, fees and plan.
- 2 Who does it reach? Count how big each group is, and how much of the total loss it covers.
- 3 Am I comparing like with like? Plan type and price go together, so I separated them before blaming price.

50,000 members, 24 things known about each of them, four weeks of attendance. No splits by age or gender.

The people who left were already coming less in week one



1.9 vs 3.6

visits in week one, leavers against stayers

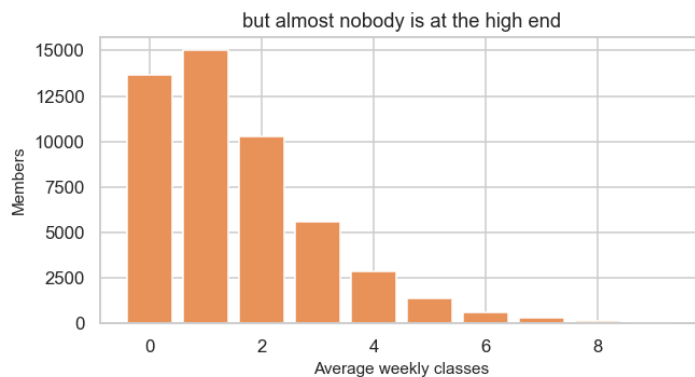
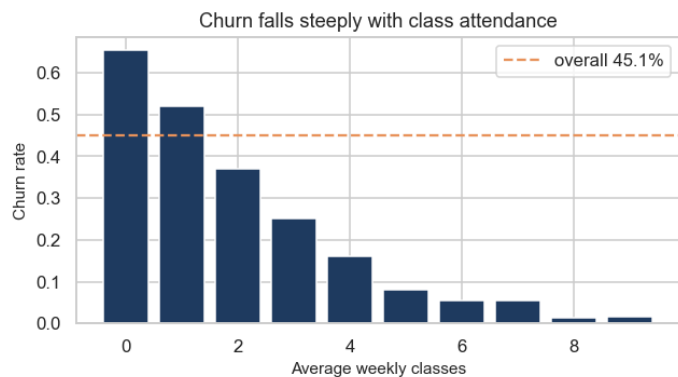
same fade

both groups drop to about 58% of week one by week four

Nobody lost motivation in week three. The gap was there on day seven.

The class reward mostly pays the people already in the building

4.1, Option A: class attendance



27%

never take a single class, and two thirds of them leave

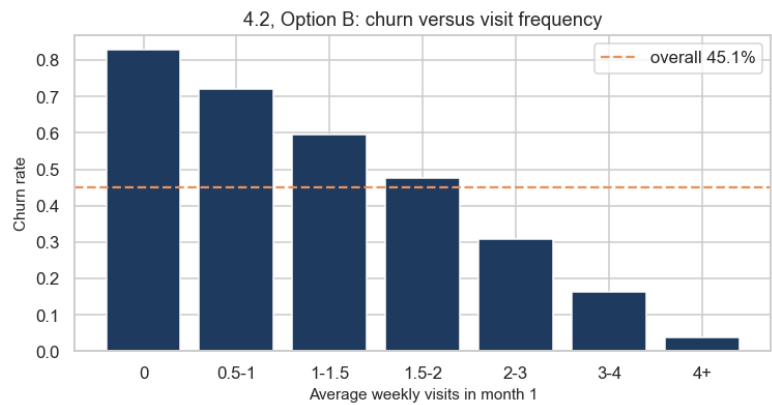
40%

of everyone we lose comes from that group

22%

already take three or more a week, and were staying anyway

The punch card sets a bar almost nobody clears



25%
average three visits a week

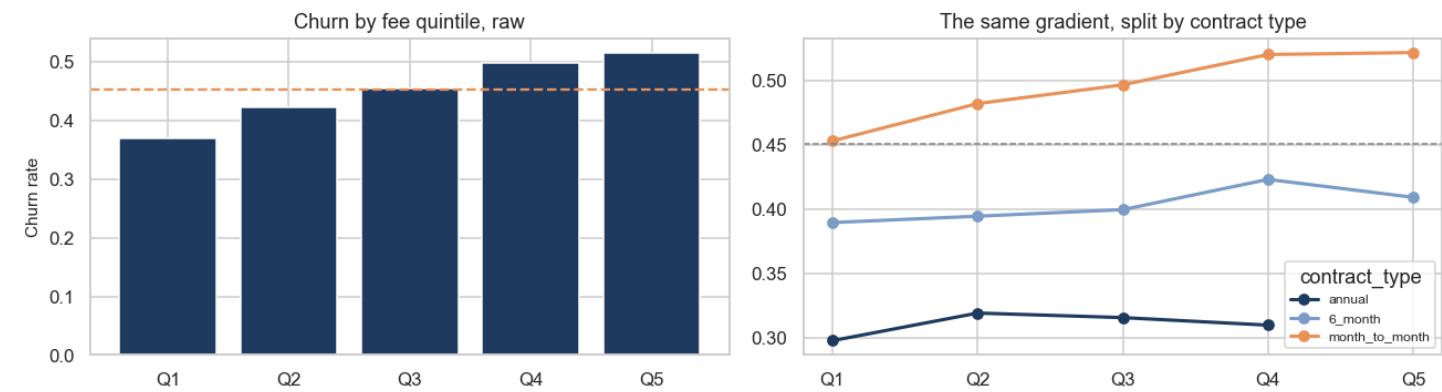
7.5%
manage it every week, which is what the card asks for

93%
of the people we lose never came close

A class is also a visit, so these two ideas overlap. Funding both pays twice for one behaviour.

Half of the price story is really about the plan people are on

2.7, Is the fee gradient really about the fee?



Annual members pay the least, about \$42, and only 31% of them leave.

Month to month members pay the most, about \$58, and half of them leave.

So the expensive plan and the leaky plan are the same plan. Compare like with like and the gap mostly disappears.

A price cut costs far more than the members it saves

940 members

saved by taking \$10 a month off everyone

\$3.3 million

of first year revenue given up to save them

To break even, leaving would have to drop sixteen points. It drops two.



So, my answer

Don't cut the price, and don't fund either reward as written. Pay for a week one list instead.

The warning sign shows up seven weeks before the thing we are trying to stop.

What to pay for

One quiet first week tells us who half our leavers are

People who came once or less in their first week:

33%

of the January intake

65%

of them stop coming

48%

of everyone we lose sits
in this group

We can pull the list on the 8th of January. No new system, no price change, nothing to build.

One January of testing would settle both questions

- 1 Call the quiet group in week one, and hold back a comparison group so we can see if it worked.
- 2 Try a narrow offer for expensive month to month members, rather than a cut across the chain.

One honest limit: everyone in this data already said yes to our price. Nobody in it saw the fee and walked away. So we can say how price relates to leaving, but nothing about how it affects joining. That is why my answer on price is test it, not do it.